

Energy and Environment Outlook

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【メール原文】

East Coast distillate stocks are at multi-year lows, constraining the Trump administration's options ahead of midterms. Export restrictions are likely|||||||

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US diesel squeeze to persist into 2027

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The US diesel squeeze will limit Trump's options to contain fuel prices
By Conor Frydenborg, Gregory Brew

Record diesel prices are increasing pressure on President Donald Trump's administration ahead of the November midterm elections. East Coast distillate stocks, including diesel and heating oil, stood at 21.6 million barrels in the week ending 11 September, down 31% from the same period last year, even as US refineries operated at 97% utilization. In its 9 September outlook, the Energy Information Administration (EIA) expects national inventories to fall below 100 million barrels in September and remain below their five-year seasonal low through much of 2027. Diesel fuel is already priced at \$6.28 per gallon on average as of 14 September, compared to \$3.74 a year ago. Disruptions to refining in the Middle East and Russia have tightened global supplies, increased demand for US fuel exports, and limited domestic stock building (see: Oil Markets Weekly: Product prices will outpace crude as Middle East conflict drags on , 24 August 2026).

Outlook:

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Washington will impose temporary, targeted refined-product export restrictions only if prices continue to rise and remain elevated through late October (see: US Daily: Refined product export restrictions likely if prices remain elevated , 16 September 2026). While the administration faced similar pressure to impose export restrictions in the summer, short-term relief akin to that provided by June's US-Iran memorandum of understanding is less likely now. Washington would likely use quotas on diesel, gasoline, and jet fuel, preserving some exports while redirecting volumes to the coasts and storage. Such measures would weaken refinery economics and risk supply shortfalls for US trading partners.

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Other administrative measures will provide only limited relief. The Environmental Protection Agency advanced the shift to winter gasoline by two weeks, relaxed blending requirements, and renewed waivers for certain state-specific fuel standards. A Jones Act waiver through mid-November also allows approved fuel shipments between US ports on foreign vessels. These steps will improve gasoline availability and fuel distribution, but they will not directly resolve the diesel deficit. With refiners already deferring some autumn maintenance to sustain output and benefit from favorable economics, further production increases will be difficult.

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Diesel prices will remain elevated through winter even if crude prices retreat. Restoring crude flows in and around the Strait of Hormuz will not immediately replenish depleted product inventories, and conflict-damaged refineries will still be on repair schedules. Remaining maintenance, agricultural harvest demand, and winter heating needs in the Northeast will limit inventory growth and leave markets especially vulnerable to unplanned outages. Higher freight and agricultural costs will extend the squeeze beyond fuel bills. A sustained price normalization will depend on rebuilding inventories after the winter season.

Record coal demand to hold as Hormuz disruptions persist

By Conor Frydenborg, Timothy Puko

The International Energy Agency (IEA) raised its coal demand forecast to a record high as the Middle East conflict and an unusually strong El Niño upend energy markets. Disruptions to LNG shipments through the Strait of Hormuz have raised gas prices and prompted power producers to switch to coal, a trend that will likely continue as long as the Iran conflict persists. The war has already led countries to prioritize local supply to ensure reliability—a shift that will continue and one that Eurasia Group has said will benefit coal, as well as renewables and other local energy sources, across global markets (see: EG Update , 7 September 2026).

Outlook:

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Iran and AI will be the main factors in whether coal sets another record in 2027. Coal demand growth is still slowing, and total demand will probably decline if Gulf liquefied natural gas (LNG) flows recover or the AI bubble bursts and slows electricity demand growth. Even so, any decline will likely be modest, and peak coal will look more like a plateau than a sharp structural drop. The IEA's basecase projects demand will fall just 0.4% to 8.91 billion tons next year if flows through the Strait of Hormuz resume and gas prices ease. Growth in renewable energy, recovering nuclear output, and continued European phaseouts will also weigh on demand. In the near term, Eurasia Group expects gas prices to remain elevated, as the US-Iran standoff will likely persist through year-end and large LNG tankers are unable to transit the strait (see: MENA Crisis and Oil Update , 11 September 2026).

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China, India, and Southeast Asia will keep global demand high even after the energy shock fades. China's consumption will likely reach about 5 billion tons this year, and Beijing will retain coal capacity as insurance against power shortages even as renewable generation expands rapidly (see: China: Iran disruptions will further entrench Beijing's energy security playbook , 11 March 2026). India and Southeast Asia will drive more durable growth as electricity demand and industrial output rise. Governments across these markets will continue to add renewables quickly, but energy security concerns and the need for reliable power will make policymakers reluctant to curb domestic coal supply too soon.

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The Trump administration will slow US coal plant retirements without reversing the broader decline in consumption. Grid reliability concerns and data center demand will support efforts to maintain existing plants and weaken emissions rules. However, relatively cheap natural gas and renewables will continue to displace coal generation. The IEA says US demand will likely fall by 7% this year, in line with the EIA's forecast and reversing last year's slight rebound. The administration's main effect will be to preserve more coal capacity than would otherwise survive. Stronger exports, especially to Asia, will offer some relief to producers but will not offset the broader contraction.

Korea's energy investment announcements in the US will require more negotiations on nuclear details
By Herbert Crowther

South Korea will likely announce its first US-bound investment projects under the US-Korea investment framework by next week, with a primary focus on energy projects. Seoul has determined that the projects meet commercial viability standards, which allows the government to report them to Korea's National Assembly without seeking formal legislative approval, clearing a significant procedural hurdle. Since last month, South Korea has taken a more proactive approach to investment initiatives, prioritizing speed over thoroughness (see: Seoul will go big on US investments to placate Washington , 16 September 2026).

Outlook:

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A major gas-fired power project in Texas to supply data centers will probably be the most credible energy project in the first project tranche, estimated to cost \$22.3 billion. Similar gas-fired projects under the US-Japan investment framework were announced in February and March, and financing has since advanced, increasing pressure on Korea to accelerate its own project announcements (see: Tokyo pulling ahead of Seoul on US investments , 30 July 2026).

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Headline nuclear investment announcements will probably also be included, but significant follow-up discussions will be needed before any concrete projects move forward. Discussions reportedly include a package involving both Westinghouse AP1000 reactors and Korean APR1400 reactors, as well as a potential Korean equity stake in Westinghouse, although the two countries continue to disagree over the specifics. A direct Korean equity stake in Westinghouse could create new opportunities for Korean suppliers and engineering, procurement, and construction companies on AP1000 projects in the US and overseas. It could also create new openings for US-Korea cooperation on nuclear projects in third markets.

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For Seoul, even if the nuclear discussions remain far from final, announcing a costly package of nuclear projects is intended to placate the Trump administration over perceived delays in meeting Korea's \$350 billion investment target.

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In the US, the most likely pathway for new AP1000s to break ground remains the Department of Energy's effort to support early parts procurement with domestic utilities. The expected Korea announcement is not currently likely to improve that outlook directly.

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Including references to the Alaska LNG pipeline project in Korea's announcement is also likely, but the project appears significantly less credible than the gas-fired power project in terms of tangible progress.

Draft Indian regulation would significantly boost battery storage

By Conor Frydenborg, Herbert Crowther, Jesus Renzullo

India is preparing to require battery storage for most new renewable generation projects. Draft regulations from the Central Electricity Authority would require new ground-mounted solar and onshore wind projects commissioned from July 2027 to install battery storage with a two-hour duration equivalent to at least 10% of project capacity. The requirement would increase to four hours from July 2029. Ground-mounted solar and onshore wind accounted for 60% of renewable capacity additions in April–August 2026. The proposal seeks to ease mounting grid integration challenges. India curtailed nearly 14% of solar generation between April and June, a higher share than in the most heavily curtailed developed markets.

Outlook:

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The government will probably finalize the storage mandate largely as proposed and gradually extend the same approach across public renewable procurement. Storage is essential to grid reliability and the expansion of renewables, which New Delhi sees as increasingly vital to energy security. The case for storage will strengthen as electricity demand rises and variable renewables make up a larger share of the generation mix. Nearly one-third of India's coal plants operated with critically low fuel stocks in early September, underscoring the sensitivity of India's electricity system to reliability risks. Coal provides over 70% of India's electricity (see: Energy Transition Dashboard: India).

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New Delhi will face pressure to calibrate localization requirements given constrained access to Chinese technology. Battery assembly and cell manufacturing will expand, but restrictions on technology transfers from Beijing will make the announced manufacturing pipeline harder to deliver and extend dependence on imported materials. Policymakers will very likely continue to support domestic manufacturing, including a 20% local-content requirement for government-backed projects, while still allowing imports. New Delhi has also focused on diversifying India's sources of critical minerals through strategic partnerships with emerging producers such as Australia and Canada, as well as partner consumers such as Japan, the US, and the EU. The principal risk is that sourcing requirements will compound the effects of Chinese restrictions, which Eurasia Group contacts say have already tightened in recent months for India-based projects.

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Storage growth will slow the rise in coal generation but will not displace coal as India's main source of electricity in the medium term. While two-to-four-hour batteries can reduce curtailment, they cannot cover prolonged periods of weak renewable output or seasonal supply shortfalls. India will continue to pursue renewables, batteries, and additional firm generation, mainly coal, at the same time. Policymakers will also sharpen their focus on how new generation sources support system reliability.

Arctic shipping via the Northeast Passage will grow faster than via the Northwest Passage

By Henning Gloystein

Arctic shipping activity has reached or approached record highs along the Northeast Passage in the late-summer weeks, from mid-August to mid-September. The Northeast Passage runs through the Arctic waters off Norway and Russia, linking Europe and Northeast Asia. Record-high ocean surface

temperatures have reduced late-summer ice levels across the region and enabled a sharp rise in ice-free shipping.

Outlook:

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Most shipments have moved, and will continue to move, between Russia and China. They include Russian oil, gas, and bulk cargoes—likely mined commodities—to China, as well as Chinese container shipments to Russia. Traffic has also included Russian gas deliveries to Europe and a landmark Chinese container shipment to the UK. That voyage took 25 days, about half the time required for a route around the Arabian Peninsula, where shipping faces frequent attacks amid the escalating Middle East conflict.

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Ship traffic along the Northeast Passage is accelerating faster than through the Northwest Passage, which links North America's Atlantic and Pacific coasts. In the Northwest Passage, large-scale commercial shipping remains mostly limited to voyages serving Canada's Mary River Mine, which produces high-grade iron ore primarily for export to Europe.

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The key difference between the Northeast and Northwest Passages is that Arctic ice has retreated much farther north along the Northeast Passage than the Northwest Passage, according to the National Snow and Ice Data Center. One likely reason is that Europe is the fastest-warming continent and is warming more than twice as fast as the global average, according to the Copernicus Climate Service.

Conor Frydenborg

Associate, Energy & Resources

+1 202.540.5149

frydenborg@eurasiagroup.net

Gregory Brew

Senior Analyst, Iran & Energy

+1 646 259 3207

brew@eurasiagroup.net

Timothy Puko

Director, Commodities

+1 202.540.5143

Puko@eurasiagroup.net

Herbert Crowther

Senior Analyst, Energy & Resources

+1 435.625.7886

crowther@eurasiagroup.net

Henning Gloystein

Managing Director, Energy & Resources

+44 (0)73 898 444 98

gloystein@eurasiagroup.net

Jesus Renzullo

Consultant, Energy, Climate & Resources

renzullo_narvaez.ne@eurasiagroup.net
EG Energy, Climate & Resources
ecr@eurasiagroup.net

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